Sector Report: Information Technology (IT Services)

Constituent Count: 5 Companies | Total Market Cap: INR 6,354,204 Cr | Nifty 100 Benchmark Coverage

AVG ROE	AVG OPM	MEDIAN D/E	MEDIAN P/E
27.1%	19.8%	0.09x	63.6x
Universe: 30.6%	Universe: 27.2%	Universe: 0.43x	Universe: 46.2x

Sector vs Full Universe Benchmarking

Metric	Sector Avg / Median	Universe Benchmark	Delta (Sector - Univ)	Positioning
Return on Equity (ROE)	27.1%	30.6%	**-3.5%**	**Unfavorable / Headwind**
Operating Profit Margin (OPM)	19.8%	27.2%	**-7.4%**	**Unfavorable / Headwind**
Median Debt-to-Equity (D/E)	0.1x	0.4x	**-0.3x**	**Favorable (Outperforming)**
Median Price-to-Earnings (P/E)	63.6x	46.2x	**+17.5x**	**Unfavorable / Headwind**
Revenue CAGR (3-Year)	19.1%	20.6%	**-1.5%**	**Unfavorable / Headwind**

Top Constituent Companies by Composite Health Score

Rank	Company Name	Ticker	Composite Score	Valuation Flag	Market Cap (Cr)
#1	**Tata Consultancy Services Ltd**	TCS	**66.0**	Fair Value	INR 461,188
#2	**Infosys Ltd**	INFY	**61.9**	Discount (Undervalued)	INR 1,112,280
#3	**HCL Technologies Ltd**	HCLTECH	**60.1**	Fair Value	INR 412,593

Information Technology (IT Services): Full Constituent Rankings

Ranked by Composite Financial Health Score (0-100). Color coding: Top third = Soft Green, Bottom third = Soft Red.

Rank	Company Name	ROE (%)	ROCE (%)	OPM (%)	D/E	Rev CAGR 3Y	Composite Score	Valuation Flag
#1	**Tata Consultancy Services Ltd (TCS)**	50.9%	60.2%	26.7%	0.09	13.6%	**66.0**	Fair Value
#2	**Infosys Ltd (INFY)**	29.8%	32.9%	23.7%	0.09	15.2%	**61.9**	Discount (Undervalued)
#3	**HCL Technologies Ltd (HCLTECH)**	23.0%	27.1%	22.0%	0.08	13.4%	**60.1**	Fair Value
#4	**LTIMindtree Ltd (LTIM)**	22.9%	25.2%	18.0%	0.10	42.1%	**59.2**	Fair Value
#5	**Tech Mahindra Ltd (TECHM)**	9.0%	9.2%	8.7%	0.10	11.2%	**36.2**	Fair Value

Information Technology (IT Services): Key Findings & Peer Analysis

Institutional Peer Percentiles, Competitive Tiering & Sector Fundamentals Synthesis

EXECUTIVE SECTOR INSIGHT

"The IT Services sector leads the universe in low financial leverage (median D/E of 0.09 vs universe 0.43) and generates strong operating margins (avg 19.8%), but trades at an elevated median valuation of 63.6x P/E."

1. Best in Class Companies (Peer Percentile Classification = 'Best in Class')

Company Name	Ticker	Best-in-Class Metrics Count	Competitive Status
Infosys Ltd	INFY	**12 Metrics**	**Superior Leadership**
Tata Consultancy Services Ltd	TCS	**12 Metrics**	**Superior Leadership**
LTIMindtree Ltd	LTIM	**8 Metrics**	**Superior Leadership**
HCL Technologies Ltd	HCLTECH	**4 Metrics**	**Peer Benchmark Outperformer**
Tech Mahindra Ltd	TECHM	**4 Metrics**	**Peer Benchmark Outperformer**

2. Watch List Companies (Peer Percentile Classification = 'Watch List')

Company Name	Ticker	Watch-List Metrics Count	Risk Profile
Tech Mahindra Ltd	TECHM	**12 Metrics**	**High Scrutiny Alert**
LTIMindtree Ltd	LTIM	**3 Metrics**	**Elevated Benchmark Lag**
HCL Technologies Ltd	HCLTECH	**2 Metrics**	**Elevated Benchmark Lag**
Infosys Ltd	INFY	**2 Metrics**	**Elevated Benchmark Lag**
Tata Consultancy Services Ltd	TCS	**1 Metrics**	**Elevated Benchmark Lag**